WHAT AILS AFFORDABLE HOUSING

High costs, low margins and policy gaps are choking budget housing projects



HIGH LAND PRICES

Skyrocketing urban land prices and a 25-30% surge in post-COVID construction costs have squeezed developers' profit margins. Around half the cost comprises taxes. As a result, they are pushed to city peripheries, making commutes longer and difficult



INORDINATE DELAYS

The lengthy process of acquiring land, securing clearances and completing construction makes projects costlier. Disruptions like the pandemic add to the delays



LOW MARGINS

Private developers earn 25-30% profit margins on premium and luxury projects, compared with just 10-12% on affordable housing. Even a slight slowdown in sales can erode margins



PRICE CAP

The government's Rs 45 lakh cap for 'affordable' homes has failed to keep pace with market realities, making budget housing economically unviable. Rising costs of cement, steel, labour and regulatory compliance further eat into margins



INVESTMENT DROUGHT

The segment has attracted little interest from major institutional investors, large developers and public sector institutions. Instead, it is largely served by small local developers, who often face funding constraints and regulatory hurdles



REGULATORY HURDLES

Developers must secure multiple approvals—land-use conversion, environmental clearances, zoning permissions, structural certifications and utility connections—before construction can begin. The process is often slow and opaque

housing projects across 17 cities, says its future developments will be in the mid, premium and luxury segments. "Most private developers have been driven away from affordable housing since the mid-to-upper end of the segment, where you have better margins, has thrived in the last four to five years," says Gulam Zia, senior executive director at Knight Frank India.

SOARING COST OF LAND

The irony is that while the real estate sector continues to grow at more than 10 per cent annually, affordable housing has all but vanished from developers' priority lists.

One of the biggest reasons for the decline in affordable housing is the sharp rise in urban land prices and the 25-30 per cent jump in post-pandemic construction costs, which have squeezed developers' margins. According to estimates, land values in central Mumbai—across micro-markets such as Powai, Chembur, Ghatkopar and Vikhroli—have risen by 40-55 per cent over the past five years. "Land prices have gone up much faster than what they should have. That is a challenge," says Hiranandani. Adding to the burden, nearly half the cost of a home goes towards government levies. "For instance, if I am selling a property at Rs 60,000 per sq. ft, as much as Rs 30,000 goes to the government as stamp duty, development charges, cess, GST and so on. That creates a segment of housing that will not be affordable to those who deserve it," he adds.

A 2025 Knight Frank report says acquiring land for affordable housing in metros such as Mumbai, Bengaluru, Delhi and Chennai is economically unviable because of soaring prices. Developers have therefore moved to city outskirts, where land is cheaper but often poorly connected to urban infrastructure. In the Mumbai Metropolitan Region, for instance, many such projects are located in Palghar, Karjat and Vasai-Virar—up to three hours from the central business districts. The long, expensive commute erodes the appeal of these homes.

Delays in the development cycle further drive up costs. "The problem is, from land acquisition to starting the development alone takes two to three years," says Sanjay Dutt, MD & CEO, Tata Housing. "To build takes another two to three years, for the project to be inhabitable takes another one or two years, and in between, you have the economic cycle, COVID, disruptions like war and so on, which further delays